

PERFORMANCE MANAGEMENT



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This section outlines the policies and procedures governing the Company's Performance Management System. The system has been updated to align with the Company's grading structure, Job Families, and competency framework, ensuring clarity, consistency, fairness, and accountability across all roles.

The Performance Management System is designed to support performance excellence, employee development, and effective people decisions.

1- Objectives of the Performance Management System

The objectives of the Performance Management System are to:

- Enhance job satisfaction by providing clear expectations and structured feedback.
- Motivate and guide employees toward continuous self-development and improved performance through constructive and evidence-based discussions.
- Link performance outcomes to rewards, variable pay, promotion, and career progression.
- Identify training and development needs based on actual performance gaps.
- Support career growth, succession planning, and talent development.
- Strengthen the working relationship between employees and their Direct/Line Managers.
- Provide a documented and consistent record of employee performance to support fair and informed management decisions.

2- Roles and Responsibilities (RACI)

- **R (Responsible):** Executes the activity
- **A (Accountable):** Owns final decision / outcome
- **C (Consulted):** Provides input
- **I (Informed):** Kept informed

PMS Activity	HR	Direct / Line Manager	Employee
Communicate PMS timelines and guidelines	A	I	I
Assign and validate Job Family	A	C	I
Set annual objectives	C	A / R	R
Ensure inclusion of mandatory HSE & Compliance objectives	A	R	I
Assign objective weights (total = 100%)	C	A / R	C
Conduct ongoing performance check-ins	I	A / R	R
Mid-year performance review	C	A / R	R
Year-end performance review	C	A / R	R
Collect performance evidence	I	C	R
Evaluate objective achievement	I	A / R	C

PMS Activity	HR	Direct / Line Manager	Employee
Assess core & functional competencies	C	A / R	C
Validate competency ratings consistency	A	C	I
Consolidate performance results	A / R	I	I
Resolve performance rating disputes	A	C	I
Finalize Employee Performance Profile	A / R	I	I
Position employees on 9-Box Grid	A	C	I
Define development plans	C	A / R	R
Support training & development actions	A / R	C	I
Link performance outcomes to variable pay	A	C	I
Monitor PMS compliance and governance	A / R	I	I

Human Resources

HR is responsible for:

- Announcing the start of each performance management cycle, including timelines and submission deadlines.
- Communicating policies, guidelines, procedures, and tools related to the Performance Management System.
- Ensuring consistent and compliant application of the system across the Company.
- Auditing performance reviews to ensure fairness, completeness, and adherence to policy.

Senior Management

Senior Management is responsible for:

- Ensuring proper implementation and governance of the Performance Management System within their respective departments.
- Ensuring quality, consistency, and 100% completion of performance reviews for all employees within their scope.

Direct / Line Managers

Direct/Line Managers are responsible for:

- Orienting new employees on the Performance Management System and its link to the Company's Competency Framework.
- Acting as role models in demonstrating the Company's values and core competencies.
- Setting annual objectives with employees in alignment with Company and departmental objectives.
- Ensuring objectives are measurable and clearly defined
- Monitoring performance continuously and conducting formal mid-year and year-end reviews.

- Holding regular performance discussions and interim check-ins as needed.
- Gathering relevant feedback from internal stakeholders when appropriate.
- Supporting employees in addressing performance gaps and development needs throughout the review period.

Employees

Employees are responsible for:

- Actively participating in objective setting and performance review discussions.
- Ensuring clarity of expectations and seeking clarification when required.
- Taking ownership and accountability for achieving agreed objectives.
- Informing the Direct/Line Manager of any factors that may impact performance.
- Providing evidence to support performance discussions and self-assessment.
- Taking proactive steps to improve performance and address identified development areas.

3- Performance Management Cycle

- A- New employees are reviewed after **(3), (6), and (12) months** of employment, and semi-annually thereafter.
- B- Existing employees are reviewed **twice per year**:
 - a. Mid-year review (June)
 - b. Year-end review (December)
- C- Direct/Line Managers may conduct additional reviews when necessary.

4- Job Families



Review Date **From** **To**

Employee Name

Position

Department

Senior Manager

Country

Direct Manager

Position

Date of Hire

Company

Job Family Middle Management

Top Management

Middle Management

Staff

Blue Collar - Technicians

Employees are assigned to one of the following Job Families:

- **Top Management**
- **Middle Management**
- **Staff**
- **Blue Collar - Technicians**

Purpose of Job Family Selection

- Job Family selection determines functional competencies and mandatory objectives.

- Core competencies apply to all employees regardless of Job Family.
- Job Family selection does not affect core competencies or rating scales.

5- Performance Requirements - Objective Setting

S	Objective(s)	Measure	Weight	Due Date
1				
2				
3				
4				
5				
6	Ensure effective implementation, monitoring, and enforcement of HSE systems and policies within teams.	100% HSES trainings; 100% HSES meetings; 4 observations; 2 management tours; 100% critical & 80% other audit actions; Zero warnings	10%	
7	Training, awareness, and implementation of launched compliance systems and policies	Pass training tests with score $\geq 85\%$; Zero policy breaches	5%	
Total Weight			15%	Error

- Performance requirements consist of annual objectives aligned with the Company's strategy and departmental objectives.
- Objectives must include **clear measures and assigned weights**, with the **total weight equal to 100%**.
- **HSE and Compliance objectives are mandatory** for all employees and are included within the total 100% weight.
- Direct/Line Managers are responsible for ensuring objectives and measures are clearly communicated and agreed upon.

6- Performance Review Structure

Performance reviews consist of the following three sections:

Section I - Business Objectives

- Objectives are set at the beginning of the review period and must be **SMART** (Specific, Measurable, Achievable, Reasonable, and Timely).
- Objectives are discussed, reviewed, and evaluated based on actual results achieved.
- During the review, the Direct/Line Manager and employee discuss progress and agree on objective scores.
- Weighted scores are calculated automatically by the system.

Section II - Competencies

Core Competencies (Applicable to All Employees)

The Company evaluates 3 Core Competency pillars:

Knowledge

- Excellence
- Success

Attitude

- Collaboration & Care
- Accountability

Feedback

- Respect
- Learner Mindset

Competency Rating Scale	Description
1	Beginner
2	Developing
3	Competent
4	Advanced
5	Expert

Functional Competencies

- Functional competencies are assigned based on Job Family.
- They reflect role-specific skills and capabilities.
- Competencies are rated using a five-level scale:
- Ratings are based on **observable behaviors and evidence**, as defined in the Competency Matrix.

Date of Last Review				Last Review Objectives Score				
Competencies Scale Definition	Beginner		Developing		Competent	Advanced		Expert
	1		2		3	4		5
	Core Competencies				المهارات الرئيسية		Rating	Avg Rating
1	Knowledge	Excellence		المعرفة	التميز	3	3	
		Success			النجاح	3		
2	Attitude	Collaboration and Care		السلوك	التعاون والتراحم	3	3	
		Accountability			تحمل المسؤولية	3		
3	Feedback	Respect		تقبل النقد	الاحترام	3	3	
		Learner Mindset			عقلية التعلم	3		
	Functional Competencies				المهارات الوظيفية		Rating	
4	Analysis & Pattern Recognition				التحليل والتعرف على الأنماط			3
5	Delegation & People Management and Development				تطوير وتفويض وتحفيز العاملين			3
6	Leadership				القدرات القيادية			3

- Employees are assessed on both **Core Competencies** and **Functional Competencies**.
- Core Competencies are common across the Company and are based on the 3 pillars:
 - Knowledge
 - Attitude
 - Feedback
- Functional Competencies are assigned based on Job Family.
- During the review, the Direct/Line Manager and employee discuss competencies and

Section III - Career & Development

[illegible]

- A development plan is established to address performance gaps and support career growth.
- Employees are encouraged to identify learning needs and career aspirations.
- Direct/Line Managers and employees jointly agree on development actions and follow-up plans.

- Each objective is assigned a weight based on importance and priority, with the total weight equal to 100%.
- Objective scores are multiplied by their respective weights to calculate the overall objective score.
- Competencies are rated on a **1-5 scale** (Beginner to Expert).
- The average competency rating may positively or negatively impact the total evaluation score, in accordance with the approved scoring mechanism.

Average Competency Rating	Impact on Total Evaluation
1	-10%
2	-5%
3	Neutral
4	+5%
5	+10%

- Final performance results combine **objective achievement and competency evaluation**.

8- Link to Succession Planning and Variable Pay

The 9-Box Grid combines performance results and competency-based potential. It is used for:

- Talent identification
- Succession planning
- Development prioritization

			Description			Action Plan		
Potential / Competencies	High	4 - 5	Potential Star -High Potential/Low Performer -Role model in their current function -Inconsistent Performance and expectations are not yet fully being met.	High Potential -High Potential/Medium Performance -Goals are frequently met and potential is demonstrated in new and challenging situations. -Role model in current function -Consistently delivers extraordinary results	Top Talent -High Potential/High Performance -Exceeds or Outstanding performance -Role Model across the organization -Promotable now		High Potential -Communicate your expectation -Monitor Performance for a year -No Improvement - Exit Plan	Top Talent Ready Now
	Medium	3 - 3.9	Potential Performer -Medium Potential/Low Performance -Still new in current role and not yet performing all duties -Expectations are not being met yet -Performance is not consistent or declining	Core Player -Medium Potential/Medium Performance -Meets performance expectations and there is high potential for increased responsibilities. Adapt quickly to change. -Capable of growing into a more complex role -May be promotable outside of current level	High Performer -Medium Potential/High Performance -Strong Performer and consistently meeting or exceeding expectations. Has capability to grow into a more complex role.		High Performer 1-2 Years to Next step	
	Low	2 -2.9	Under Performer -Low Performance/Low Potential -Does not meet/partially meets performance expectations -May not be a fit for current role	Average Performer -Low Potential/Low Performance -Good fit for current role and consistently provide value, but may lack interest to move to a higher position.	Solid Performer -Low Potential/High Performance -Provide significant value in current role but not likely to move to a higher level.		Under Performer Exit Plan	Solid Performer -Communicate your expectation -Monitor Performance for a year -No Improvement - Exit Plan
			60 % - 79%	80% - 89%	90% - Above			
			Low	Medium	High			
			Performance		Performance			

Potential / Competencies	High	4 - 5	Potential Star -Communicate your expectation -Monitor Performance for a year -No Improvement - Exit Plan		High Potential Ready Now
	Medium	3 - 3.9	Potential Performer -Training & Improvement Plan -Check performance every Month for 6 Month to 1 year -No Improvement - Exit Plan		High Performer 1-2 Years to Next step
	Low	2 -2.9	Under Performer Exit Plan		Solid Performer -Communicate your expectation -Monitor Performance for a year -No Improvement - Exit Plan
			60 % - 79%	80% - 89%	90% - Above
			Low	Medium	High
			Performance		Performance

- Final performance results are used as an input for:
 - Succession planning
 - Talent identification (9-Box Grid)
 - Variable pay determination
- Variable pay is linked to the employee's position in the **9-Box Grid**, reflecting both performance and potential.

9- Performance Review Approval Process

- Following the Performance Review discussion, the **Direct Manager and the Employee agree on and document the final ratings** for objectives and competencies in the Performance Review Form. Both parties sign the form in the designated section, along with the Development Plan.
- The **Department Head** reviews and approves the completed Performance Review Form. The Direct/Line Manager then submits the approved form to **HR** for consolidation and analysis.
- In case of disagreement, where any party declines to sign the Performance Review Form, the case is escalated to the relevant **Senior Management** for review.
- If the disagreement persists, **HR** will conduct an in-depth review and provide a fair and objective assessment, ensuring the rights of all parties are maintained.
- HR will manage the process in compliance with Company policies and applicable labor laws, including reference to **Egyptian Labor Law** where required.

10-Salary Review

- Annual salary increase percentages are determined by **Karm Internal Remuneration Committee**.
 - Salary reviews are subject to the Company's overall financial performance, business priorities, and profitability.
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11-Promotion Criteria

Employees may be considered for promotion based on the following criteria:

- An average **competency rating of not less than 3** (meeting expectations).
- A **total performance evaluation score of at least 90%**.
- Additional factors considered include:
 - Readiness and maturity in the current role.
 - Availability of a suitable vacant position at the next level.

Meeting the minimum criteria does not automatically guarantee salary increases or promotion.

Competency Framework

		Beginner	Developing	Competent	Advanced	Expert
Knowledge	Excellence. Excellence is not a goal—it is a standard. We take pride in fully understanding our areas of expertise that reflects on providing high quality work to our internal and external clients.	Understands the basic requirements of the role. Seeks guidance to ensure work meets minimum quality standards.	Consistently applies technical knowledge to tasks. Begins to identify and correct own errors before submission.	Fully masters the scope of work. Delivers high-quality results autonomously that meet or exceed client expectations.	Anticipates quality issues before they arise. Streamlines processes to improve efficiency without sacrificing quality.	Sets the "gold standards" for the Company and produces new knowledge in the subject matter Recognized as a Subject Matter Expert (SME) who mentors others in mastery.
	Success. Our success is to deliver quality work that ensures solid financial growth and continuous development of state-of-the-art technology in our field of expertise.	Completes assigned tasks on time. Understands how their specific role contributes to the team's goals.	Suggests small improvements to save time or resources. Shows awareness of the firm's financial objectives.	Delivers work that directly contributes to project profitability or technological uptime. Balances quality with speed effectively.	Identifies new opportunities for cost-saving or revenue generation. Actively contributes to technological development or refinement.	Orchestrates large-scale initiatives that drive significant value for the organization. Aligns technological innovation with long-term market performance including production of patents and commercializing them.
Attitude	Collaboration and Care. True collaboration means effective teamwork, knowledge-sharing, respecting differing viewpoints, and leveraging the strengths of our diverse teams. Pursue mentoring others	Participates in meetings and shares information when asked. Maintains a decent and polite working relationships. Shows basic awareness of others' needs. Participates in team-building activities	Proactively offers help to teammates without being asked. Acknowledges different viewpoints during discussions. Supports teammates during high-pressure periods when needed.	Actively shares knowledge to prevent information silos and ensure maximum benefit. Works effectively with diverse colleagues across different departments. Anticipates teammates' needs and offers support proactively.	Resolves team conflicts constructively. Builds bridges between international sites to harmonize efforts. Acts as a role model in caring leadership, mentoring others to do the same. Initiates and supports team-building activities that strengthen collaboration, engagement, and morale.	Creates a culture of radical synergy. Leverages the full diversity of the workforce to solve complex multidimensional challenges. Anticipates the needs of people and the organization and acts with care through decisions that balance performance and long-term sustainability. Builds strong, high-performing teams by leading meaningful team-building initiatives and fostering sustained engagement and collaboration.
	Accountability. Each of us is responsible for upholding the reputation and success of Karm. while being held accountable for our results. Building a culture dependent on adhering to governance and processes, rather than trust between individuals.	Follows instructions and admits mistakes when they are pointed out. Understands the criticality and importance of Karm. reputation.	Takes ownership of daily tasks and shows the right level of care to deliver as per expected and agreed standards. Provides status updates without being prompted.	Holds self responsible for meeting KPIs and continuously looks for short and long term solutions. Takes immediate corrective action if results deviate from the plan.	Assumes responsibility for team outcomes (even if not the leader). Acts as a guardian of Karm. brand in the public eye	Sets the standards for institutional integrity by playing an active role in improvement activities. Takes full ownership of high-stakes strategic risks and their consequences
Feedback	Respect. We act with unwavering respect, integrity, and transparency no matter the context or location.	Adheres to the Karm. code of conduct. Communicates honestly with colleagues and immediate supervisors.	Demonstrates sensitivity to the company culture and diversity. Maintains transparency even when delivering "bad news" or reporting errors.	Pursuing a consistently ethical behavior to ensure institutional cohesion. Treats all colleagues, from site workers to executives, with equal dignity.	Champions transparency in difficult situations. Protects Karm.'s integrity by calling out behaviors that contradict the company values.	Embodies Karm. ethical compass represented in policies and social behavior. Creates an environment where psychological safety and transparency are the norm.
	Learner Mindset. We are eager for continuous learning by dealing with our daily interactions and experiences as great opportunities to learn, develop and acquire knowledge.	Open to feedback and willing to attend learning sessions. Shows curiosity about Karm. activities, and the industry and countries we operate in. Attends required trainings when instructed	Asks insightful questions to deepen understanding. Applies lessons learned from past mistakes to current work. Acknowledges areas for improvement when feedback is provided and participates in relevant training opportunities.	Actively utilize feedback and pursues self-development Stays updated on latest solar trends and regulatory changes in countries we operate in. Actively identifies own skill gaps, seeks feedback, and requests appropriate training to improve performance.	Transforms daily challenges into learning moments for the team. Rapidly adapts to new technologies, markets and businesses. Proactively drives personal development by continuously assessing strengths and weaknesses and pursuing targeted learning opportunities.	Drives an "Organizational Learning" culture, encouraging colleagues to learn and leading by example. Anticipates future skill gaps and builds the systems to address them. Embeds a learner mindset into daily work, models self-development for others, and encourages a culture of continuous learning and growth.

Glossary and Definitions

PMS (Performance Management System)

The framework used to set objectives, assess performance, evaluate competencies, and support development, succession, and reward decisions.

Job Family

A classification of roles with similar functional responsibilities. Job Family determines functional competencies and mandatory objectives but does not affect core competencies.

Core Competencies

Company-wide competencies applicable to all employees, based on the three pillars: Knowledge, Attitude, and Feedback.

Functional Competencies

Role-specific competencies assigned automatically based on Job Family.

HSE

Health, Safety, and Environment objectives that are mandatory for all employees.

Compliance

Mandatory objectives related to governance, policies, and regulatory adherence.

WT Score (Weighted Score)

The score generated from objective achievement after applying assigned weights.

Competency Matrix

A behavioral framework defining expectations across five levels: Beginner, Developing, Competent, Advanced, and Expert.

9-Box Grid

A talent assessment tool combining performance results and competency-based potential, used for succession planning and variable pay decisions.

Direct Manager

The employee's immediate reporting manager responsible for objective setting and performance evaluation.